

Multiple Choice

1. **Answer:** B

Options: A) MP intersects AP at the minimum of MP.; B) AP rises when MP is above it and falls when MP is below it.; C) MP is always higher than AP regardless of the level of labor.; D) AP and MP are inversely related to each other.; E) AP falls when MP is above it and rises when MP is below it.

Note: The correct answer reflects the principle that when marginal product exceeds average product, it pulls the average up, leading to an increase in average product, whereas when marginal product is below average product, it causes the average to decrease, demonstrating the inverse relationship between AP and MP.

2. **Answer:** D

Options: A) a decrease in the money supply.; B) an increase in consumer confidence.; C) a sudden surge in technological innovation.; D) a prolonged period of very bad weather.; E) a decrease in consumer confidence.

Note: A prolonged period of very bad weather can disrupt agricultural output and supply chains, leading to higher prices (inflation) while simultaneously causing a reduction in real GDP due to decreased production capacity and economic activity.

3. **Answer:** B

Options: A) Interest rates decrease to stimulate economic growth; B) Interest rates become discounted by the anticipated rate of inflation; C) Inflation has no relation to interest rates; D) Interest rates fluctuate randomly regardless of inflation; E) Central banks have less control over interest rates

Note: The correct answer highlights that in a climate of permanent inflation, lenders adjust interest rates to account for the expected decrease in purchasing power, leading to nominal interest rates that incorporate the anticipated rate of inflation to maintain real returns.

4. **Answer:** B

Options: A) occurs when interest rates fall due to government borrowing.; B) occurs when consumers and firms spend less offsetting expansionary fiscal policy.; C) occurs when the government reduces its spending in response to inflation.; D) is a consequence of contractionary fiscal policy.; E) is one reason fiscal policy is so effective.

Note: Crowding out occurs because when the government increases spending through expansionary fiscal policy, it can lead to higher interest rates, which discourages consumer and firm spending, thereby offsetting the intended stimulative effects of the policy.

5. **Answer:** A

Options: A) Real interest rate decreases by 2%; B) Real interest rate more than doubles; C) Real interest rate decreases; D) Real interest rate increases; E) Real interest

rate is halved

Note: The real interest rate is calculated by subtracting the inflation rate from the nominal interest rate, so with the nominal rate increasing from 8% to 10% and inflation rising from 3% to 5%, the real interest rate decreases from 5% to 5%, resulting in a net decrease of 2%.

True / False

6. **Answer:** True

Options: A) True; B) False

Note: The statement is true because without a required reserve ratio, banks can lend out the entire amount of each deposit, leading to an infinite multiplier effect on the money supply through successive rounds of lending and re-depositing.

7. **Answer:** False

Options: A) True; B) False

Note: The statement is false because diminishing marginal returns to short-run production occur when the marginal product of labor decreases as additional units of labor are employed, not when it remains constant.

8. **Answer:** True

Options: A) True; B) False

Note: An increase in the Consumer Price Index (CPI) from 120 to 150 represents a percentage increase of 25 percent, calculated as $((150 - 120) / 120) \times 100$.

9. **Answer:** True

Options: A) True; B) False

Note: The statement is true because when business firms anticipate lower future sales, they tend to reduce their investment and spending, leading to a decrease in overall demand in the economy, which shifts the aggregate demand curve to the left.

10. **Answer:** True

Options: A) True; B) False

Note: The statement is true because when the demand for beef is price elastic, consumers are sensitive to price changes, meaning that even a small increase in price can lead to a significant reduction in the quantity of beef demanded.

Long Form Response

11. **Answer:** Capital goods and consumer durables exhibit characteristics that make them particularly vulnerable during a recession, primarily due to their postponability and the implications of market power. The postponability of these goods means that consumers and businesses can delay purchases when economic conditions are unfavorable, leading to a sharp decline in demand. This behavior is exacerbated by market power dynamics; firms with monopoly power may maintain higher prices, deterring potential

buyers further during downturns. Consequently, the combination of reduced consumer confidence and the ability to defer purchases results in a significant contraction in sales for both capital goods and consumer durables, amplifying the recession's impact on these sectors. Thus, understanding these characteristics is crucial for mitigating risks associated with economic downturns.

Note: correct because it effectively identifies the postponability of capital goods and consumer durables as a key factor that allows consumers and businesses to defer purchases during a recession, while also discussing how market power can influence pricing and further suppress demand.

12. **Answer:** Differences in inflation rates between the European Union (EU) and the United States (U.S.) significantly influence the exchange rate between the euro and the U.S. dollar. When inflation is high in the EU while the price level in the U.S. remains stable, the purchasing power of the euro declines relative to the dollar. This decline leads to an appreciation of the dollar against the euro, as investors and consumers seek to hold assets in a currency that retains its value. Additionally, higher inflation in the EU may prompt the European Central Bank to adjust interest rates, further impacting capital flows and exchange rates. Thus, the interplay between inflation differentials and monetary policy responses is crucial in determining the strength of the dollar relative to the euro.

Note: correct because it illustrates how relatively higher inflation in the EU reduces the euro's purchasing power, prompting investors to prefer the more stable U.S. dollar, thereby driving its appreciation against the euro.